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budget has allocated Rs 10,667 crore to the civil aviation ministry for 2022-23, with an allocation of Rs 600.7 crore for its flagship regional connectivity scheme UDAN. In 2021-22, the ministry was allocated Rs 3,224 crore but the Air India divestment made its expenses soar to Rs 72,652 crore. With the aviation sector in the doldrums after two years of the pandemic, there were expectations of an excise duty cut on ATF (aviation turbine fuel), but the budget skipped giving any direct relief to the sector. ATF accounts for 25-40 per cent of an airline's operating cost. According to an ICRA report, some states levy as high as 25-30 per cent VAT (value added tax) on ATF.

Around 95 per cent of India's trading by volume and 70 per cent by value is done through maritime transport. India has 12 major and 205 notified minor and intermediate ports. Under the Sagarmala National Perspective Plan, six new mega ports will be developed. India is the 16th largest maritime country, with a coastline of about 7,517 km. The government has allowed FDI of up to 100 per cent under the automatic route for port and harbour construction and maintenance projects. It has also facilitated a 10-year tax holiday to enterprises that develop, maintain and operate ports, inland waterways and inland ports. For 2022-23, the Centre has budgeted an expenditure of Rs 16,074.74 crore for the ministry of ports, shipping & waterways, higher than the Rs 15,322 crore revised estimates in 2021-22.

Sitharaman made provisions for intensifying work to implement the PM GatiShakti National Master Plan. The World Bank estimates India's average logistics costs at around 14-16 per cent of GDP as against 6-8 per cent for advanced economies, such as the US and China.

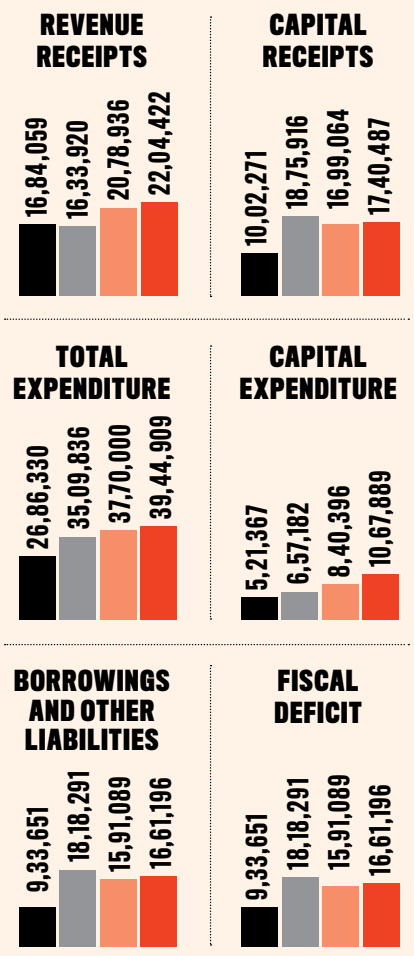
WATCH OUT FOR BOTTLENECKS

The government's big infrastructure push holds a lot of promise. Sitharaman is banking on it to have a multiplier effect for the entire economy. An increased demand for steel, cement and other key items to build infrastructure is expected to result in expansion of production capacity, and thereby create jobs. The government hopes to generate about six million jobs in the next five years. But a lot depends on how funds are allocated on time and work on various projects are completed within the specified deadline so that major cost escalations can be avoided. Many projects get caught in red tape and face inordinate delays in acquisition of land. Sitharaman talked about the Modi government having reduced over 25,000 compliances and repealing 1,486 Union laws in recent years, but ease of doing business remains a big concern for investors.

In the meantime, the government could have taken measures to put more money

THE INFRA PUSH IN THE BUDGET HOLDS THE PROMISE OF A MULTIPLIER EFFECT ON THE ENTIRE ECONOMY. AN INCREASED DEMAND FOR STEEL, CEMENT AND OTHER BUILDING ITEMS WILL SPUR JOB CREATION

BUDGET AT A GLANCE



Figures in Rs crore; BE: Budget estimate; RE: Revised estimate

Source: Ministry of Finance